

ORIGINAL

(S E R V E D)
(JUNE 25, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

June 25, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

CONFIRMATION OF RULINGS MADE AT
PREHEARING CONFERENCE HELD ON JUNE 24, 1992

This is a confirmation and amplification of rulings made at a prehearing conference on June 24, 1992.

After submission of memoranda by complainants and respondents on June 15 and 16, 1992, two prehearing conferences were held on June 22 and 24, 1992, pertaining to, inter alia, the following issue:

"whether GovGuam's obligation to submit its 'entire direct case' and 'written testimony and work papers for all witnesses except hostile or rebuttal witnesses' permits GovGuam at a later date to supplement its direct case."

After thorough discussion it was apparent that complainants have differed from respondents on this issue and in fact have not, in their minds, submitted their "entire direct case." Instead, the only written testimony submitted by complainants has been that of two expert witnesses. Complainants contemplated presenting between 4 and 14 fact witnesses to testify on the issues contained in their 95-page Volume I filed as part of its direct case. Respondents vigorously objected to complainants' interpretation.

In the circumstances, complainants are entitled to additional time to reduce the sworn testimony of all their remaining witnesses of any type (except hostile or rebuttal witnesses and any necessary substitute witnesses due to illness of an affiant who submitted previous written testimony) to writing, and file such verified statements with the Commission and serve them on the parties on Monday, August 31, 1992.

The due date for respondents' written sworn testimony for all their witnesses (except hostile or rebuttal witnesses and any necessary substitute witnesses due to illness of an affiant who submitted previous written testimony) is postponed from August 23, 1992, to Tuesday, October 27, 1992. (All the parties are thus given 58 additional days.) Respondents' request for additional time, as much as 8 weeks, is denied since they have had GovGuam's expert testimony and other submissions since March 18, 1992.

All parties, complainants, respondents, and intervenors, will be precluded from offering at the oral hearing oral or written direct evidence testimony of any witnesses (except hostile witnesses and any necessary substitute witnesses due to illness of an affiant

who submitted previous written testimony) except for corrections of errors. (If these corrections are extensive, they should be submitted at least five days in advance of the hearing as errata sheets in order to conserve the time at the hearing.)

Respondents filed a motion to dismiss on May 22, 1992. The time for complainants and intervenor to reply has been enlarged to July 21, 1992.

Complainants (on p. 11 of their June 15, 1992, memorandum) refer to issues which respondents might raise subsequent to complainants' submittal of their written direct case and anticipated exploring them on direct examination as part of their "clarification." This can be dealt with by calling for cross-examination those witnesses raising such issues. Thus, the request for "clarification" of written direct testimony prior to tendering the witness for cross-examination is denied.

Similarly, complainants may have their experts supplement their written testimony by August 31, 1992, by explaining their methodology, what their testimony means and how it relates to the issues raised by the complainants in order to make sure that the scope and purpose of their testimony is clear. So, too, complainants can have Alan Hays of Economic Data Analysis, Inc., explain in writing by August 31, 1992, generally the methodology and conclusions reached in exhibits G-51 and G-52 and how they relate to complainants' case. In like manner, the affiants of affidavits submitted as part of complainants' direct case can submit supplemental statements to explain the purpose or content of the affidavits or the affidavits can be treated as verified statements.

The purpose of these rulings is to limit the oral hearing to cross-examination of witnesses on materials previously submitted--the aim to have such witnesses simply tendered for cross-examination.

If the parties have ample opportunity to examine each other's case (entire written evidence and testimony) prior to the oral hearing, there is a possibility of entering into stipulations and the length of the oral hearing will be shortened resulting in administrative and judicial economy in the public interest. For example, in the ruling of May 21, 1992, denying complainants' motion for summary judgment for the West Coast-Guam trade provided by Sea-Land Service, Inc., Appendix B compares Gov-Guam's and Sea-Land's position as to 62 allegedly material facts. With some modification in wording, many of these could result in stipulations. So, too, some affiants may not need to be cross-examined at all.

Finally, as to Exhibit Nos. G-115 and G-116, G-60, G-86 and G-87 (referred to at page 19 of their June 15, 1992, memorandum), complainants will be granted until August 31, 1992, to file additional written testimony of the persons who drafted the letters in Exhibits G-115 and G-116 to explain what is behind the documents and also to present written testimony of persons who can offer probative evidence related to the issues raised by any of the foregoing exhibits.

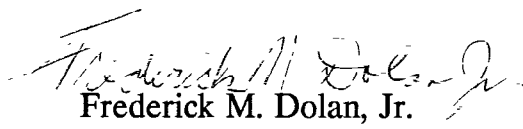
Respondents, by motion dated May 8, 1992, request an order excluding from the evidentiary record (a) complainants' 95-page memorandum submitted as Volume I of complainants' direct case, and (b) complainants' exhibits G-51 and G-52. This motion has been held in abeyance pending completion of the two prehearing conferences. After consideration of the parties' arguments on these issues it was ruled that "(a)," above, will be

received as argument of counsel but not as evidence. Thus, respondents' motion to preclude admission of "(a)," above, into the record as evidence is granted without prejudice to resubmission of any part of that document attached to the written testimony of a proper sponsoring witness.

It has been ruled that complainants' witness, Alan Hays, may explain in writing by August 31, 1992, generally the methodology and conclusions reached in exhibits G-51 and G-52 and how they relate to complainants' case. In the circumstances, respondents' motion to exclude those exhibits from the record is denied.

There is pending a Motion for Confirmation of Confidential Status, etc., filed by Sea-Land Service, Inc. (Sea-Land), on May 29, 1992. Complainants replied on June 15, 1992. Sea-Land was granted leave to respond by July 16, 1992, and complainants can file rebuttal on July 29, 1992.

The parties will submit a new adjusted schedule in view of the matters discussed at the prehearing conferences.


Frederick M. Dolan, Jr.
Administrative Law Judge